

an incident to prevailing in the action at trial or on appeal.” (§ 1033.5, subd. (a)(16); *Wagy v. Brown* (1994) 24 Cal.App.4th 1, 8.)

A token or bad faith offer does not trigger Section 998’s cost shifting provision. (*Wear v. Calderon* (1981) 121 Cal.App.3d 818, 821.) The trial court has discretion to determine whether the offer was made in good faith. (*Regency Outdoor Advertising, Inc. v. City of Los Angeles* (2006) 39 Cal.4th 507, 531.) Reasonableness is measured by the circumstances which existed at the time and “by determining whether the offer represents a reasonable prediction of the amount of money, if any, [the offeror] would have to pay [the offeree] following a trial, discounted by an appropriate factor for receipt of money by [the offeree] before trial” (*Elrod v. Oregon Cummins Diesel, Inc.* (1987) 195 Cal.App.3d 692, 699.) The party challenging the reasonableness of the 998 offer bears the burden of proof. (*Id.* at 700.) The following factors are considered: the ultimate jury verdict, defendant’s apparent liability, plaintiff’s damages, insurance coverage, jury reports, and information available to the plaintiff. (*Id.* at 698-700.)

Where a verdict is a more favorable outcome than a party’s §998 offer, that fact constitutes prima facie evidence that the offer was reasonable. (*Smalley v. Subaru of America, Inc.* (2022) 87 Cal.App.5th 450, 458.) The burden is therefore on the offeree to prove the offer was in “bad faith.”

Here, the court finds that Defendant has failed to meet his burden of establishing that the offer was made in bad faith. Here, the jury returned a special verdict finding that Plaintiff suffered total economic damages in the amount of \$240,000 and non-economic damages in the amount of \$302,000, for a total award of \$542,000. Plaintiff’s § 998 offer of \$75,000, which is significantly lower, constitute prima facie evidence that the offer was reasonable. Defendant has not offered any admissible evidence to establish that the offer was unreasonable. Instead, Defendant merely categorically argues that because Plaintiff’s §998 offer exceeded policy limits, the offer was de facto unreasonable. Defendant has not addressed any of the factors for challenging the reasonableness of a 998 offer, e.g., the ultimate jury verdict, defendant’s apparent liability, plaintiff’s damages, jury reports, and/or what information was available to plaintiff. Indeed, an offer in excess of the policy limits, in and of itself, does not demonstrate that a Plaintiff acted in bad faith. (*Aguilar v. Gostischef* (2013) 220 Cal.App.4th 475, 480-481).

For this reason, Defendant’s request to tax Plaintiff’s prejudgment interest is DENIED.

In Plaintiff’s opposition, Plaintiff has updated the amount of prejudgment interest to \$68,750.90. The updated amount requested by Plaintiff for prejudgment interest is GRANTED. (Code of Civ. Proc. § 3291 (prejudgment interest continues to accrue until judgment is satisfied)).

Item 1: Filing and Motion Fees

Defendant seeks to tax \$460.75 in filing fees as unsupported. The opposition explains that Plaintiff seeks costs related to filing the complaint plus a \$35.75 e-filing service fee. The court finds that \$460.75 is a